IBEDC COMMERCIAL PERFORMANCE PROGRAMME

Prepared by WIDDA, for IBEDC executive leadership.

EXECUTIVE SUMMARY

Ibadan Electricity Distribution Company (IBEDC) operates in a complex distribution environment where improving operational discipline, commercial performance, and network visibility is critical to achieving long-term financial sustainability. While progress has been made, structural challenges—including limited customer visibility, energy accounting gaps, revenue recovery constraints, and organisational alignment—continue to impact operational efficiency and revenue performance.

This programme provides a structured execution framework to support IBEDC leadership in addressing these challenges while reinforcing existing governance structures. WIDDA will act as a collaborative partner to management, focusing on translating strategic priorities into practical execution plans, strengthening internal capabilities through analytical tools and operational frameworks, and improving transparency through enhanced monitoring and performance oversight.

The approach follows a **three-phase implementation model**:

The **first** phase focuses on **operational diagnostics and visibility**, establishing a performance baseline across billing, collections, metering, and customer data while mapping energy flows across feeders and transformers.

The **second** phase targets **commercial performance improvement**, including enhanced billing accuracy, optimised revenue collection strategies, expanded digital payment channels, and the introduction of operational performance dashboards for business wellness.

The **final** phase focuses on **system strengthening and long-term capability**, including advanced metering deployment, improved network monitoring and the development of internal commercial analytics capabilities.

Supported by strong organisational enablement—including leadership alignment, accountability frameworks, and performance measurement systems—this programme aims to deliver measurable improvements in billing efficiency, revenue collection, customer visibility, and loss reduction. Overall, the initiative will support IBEDC in strengthening operational transparency and building a **financially sustainable and resilient electricity distribution business**.

ROLE OF WIDDA

WIDDA support will act in a way that reinforces current leadership structures. With this in mind, **three** key principles will be kept throughout the project's duration:

1. **Supporting leadership execution -** WIDDA is here to assist IBEDC senior leadership in translating business priorities into structured execution plans for the organisation.
2. **Strengthening internal capabilities -** IBEDC staff will be equipped with analytical tools and operational frameworks that enhance their ability to manage performance and make decisions.
3. **Enhanced transparency and operational control –** Analytical and monitoring tools may be introduced to clearly view key operational indicators for leadership oversight.

KEY OPERATIONAL CHALLENGES

Despite progress in several areas, IBEDC continues to face structural challenges that limit operational and commercial performance. These challenges fall into four main categories.

1. **Lack of customer visibility –** A significant portion of IBEDC's electricity distribution network is not captured, leading to a lack of transparency with the customers' total energy deliver and a limit on the company's ability to enforce billing compliance which increases commercial losses.
2. **Energy accounting gaps -** Accurate energy accounting requires tracking electricity from feeders to transformers and customer meters. When these links are incomplete, it becomes difficult to identify energy loss points, thus causing an unlocatable loss of revenue.
3. **Revenue recovery constraints –** Limited enforcement of revenue collection, caused by a lack of customer visibility and dishonest behavior from marketers, cause large commercial losses that are difficult to quantify.
4. **Organisational alignment** - Operational improvements can only be sustained when leadership structures, accountability mechanisms, and performance incentives are properly aligned. Clear performance targets and monitoring frameworks are essential for ensuring that business units operate consistently and effectively.

EXECUTION FRAMEWORK

To address these challenges, the programme proposes a phased execution framework designed to stabilise the organisation, then deliver improvements.

Phase 1: Operational visibility and diagnostics (0 – 1.5 months)

The first phase focuses on improving management visibility into operational performance and establishing a baseline for future improvements.

A structured **operational diagnostic** will assess current performance across key areas such as billing, collections, metering, feeder performance, and customer records. This analysis will provide a clear understanding of existing performance gaps.

A **customer data integrity review** will also be conducted to identify inconsistencies, inactive accounts, and data quality issues within existing customer databases. Improving the reliability of customer information will support more accurate billing and stronger customer engagement.

Energy flow mapping will strengthen the connection between feeders, transformers, and customer accounts. This mapping process will create the analytical foundation for targeted loss reduction initiatives.

Finally, **operational process reviews** may be conducted for key activities such as meter installation, transformer energisation, and service request handling. Observational exercises and process walkthroughs will help identify opportunities to improve operational discipline and efficiency.

Phase 2: Commercial Programme Improvement (3 – 18 months)

Once diagnostic insights are established, the focus shifts toward improving measurable commercial performance.

Billing accuracy is a central objective. Enhanced data quality and stronger operational processes will reduce disputes and improve customer trust in the billing system.

Revenue collection optimisation will be key, using analytical tools to prioritise receivable recovery and target high-value customer segments.

Expanding digital payment channels is another initiative. Providing convenient payment options increases transparency and reduces friction in the customer payment process.

Performance monitoring dashboards will be introduced to provide leadership with regular insights into billing efficiency, collection rates, and feeder-level losses. These dashboards support data-driven decision making and stronger operational control.

Phase 3: System strengthening and long-term capability (18 – 36 months)

The final phase focuses on building long-term organisational resilience and strengthening operational systems.

Advanced metering technologies, particularly for high-value customers and critical network locations, will be put in place for measurement accuracy and to strengthen billing credibility.

Improved network monitoring tools will also support proactive management of feeder and transformer performance.

Finally, the programme aims to build **internal commercial analytics capability**, enabling IBEDC teams to continuously analyse operational data, monitor performance indicators, and identify improvement opportunities.

ORGANISATIONAL ENABLEMENT

Operational improvements must be supported by organisational capability. The programme therefore emphasises several enabling factors, **including leadership alignment, clear accountability frameworks, staff training and development, and robust performance measurement systems.**These elements ensure that improvements become embedded within the organisation's operating model rather than remaining temporary initiatives.

EXPECTED OUTCOMES

Through disciplined implementation of the framework, IBEDC can expect improvements in several key performance indicators:

1	**Improved billing efficiency**
2	**Strong revenue collection performance**
3	**Expanded metering coverage**
4	**Enhanced customer visibility**
5	**Reduced commercial losses**
6	**Increased operational transparency**

Collectively, these improvements contribute to IBEDC's long-term objective of building a financially sustainable and operationally resilient electricity distribution business.

NEXT STEPS

The next step involves supporting a leadership strategy session to align management around performance priorities. This session will review diagnostic findings, define implementation timelines, and establish monitoring and governance structures.

A collaborative approach will ensure that transformation initiatives remain aligned with IBEDC's strategic direction and operational needs.